

## Challenge #4 General Letter of Intent Feedback

### Scope & eligibility

*Applicants who are uncertain whether a proposed project component fits within the MI Healthy Climate Challenge program scope should reach out to EGLE program staff at [EGLE-OCE@michigan.gov](mailto:EGLE-OCE@michigan.gov).*

- **Technology Scope and Decarbonization Ambition: Challenge #4 prioritizes interventions with the potential for full or near-full decarbonization of the facility or process being studied.** Competitive applications will assess technologies and pathways capable of reducing facility emissions by at least 50% and the most compelling proposals will explore pathways that go beyond that threshold, with particular emphasis on process changes rather than reliance on carbon capture, utilization, and storage (CCUS) alone. Technologies that do not independently support deep emissions reductions, including biodigesters, combined heat and power (CHP), carbon capture and storage (CCS), biogas or renewable natural gas (RNG), and hydrogen-fueled energy systems, are **not** a focus of this program *on their own*, and proposals centering on them as the primary intervention are unlikely to be competitive. Such technologies may be included as one component of a broader portfolio that together achieves meaningful deep decarbonization, but reviewers will evaluate whether the overall portfolio credibly advances toward full decarbonization rather than locking in continued fossil fuel dependence or achieving only incremental reductions.
- **Water and Energy Nexus:** For studies that include water-related project measures, any water analysis must be grounded in the water-energy nexus, focusing on how water use, treatment, or management at the facility intersects with reduced energy consumption and greenhouse gas emissions. Water management activities **without** a clear connection to energy use or emissions reductions are outside the scope of this program. Applicants should frame water-related components to connect them explicitly to energy and emissions impacts and ensure the primary focus of the analysis remains on decarbonization. Applicants who are uncertain whether a specific water-related project measure fits within the program scope should reach out to EGLE program staff before submitting a full application.
- **Onsite Renewable Energy:** Applicants should consider whether onsite renewable energy, such as rooftop or ground-mounted solar, battery storage, or other distributed generation, could be incorporated as an intervention. Onsite renewables can play an important supporting role in a broader electrification and decarbonization strategy, and their inclusion would strengthen the depth and ambition of the analysis.
- **Carbon Credit Research:** Research focused on carbon credits, offset markets, or carbon accounting mechanisms is **not** an eligible use of funding under this program. Proposals should instead prioritize direct emissions reduction strategies and operational decarbonization measures aligned with the program objectives.

## Strengthening the study analysis

- **Community and Workforce Impacts:** Applicants are encouraged to analyze how the decarbonization pathways evaluated may affect workers and nearby communities, including potential impacts on employment, wages, workforce skills and training needs, local air quality, and public health. This analysis can meaningfully strengthen the feasibility study and improve the quality of recommendations. Where it is not already planned, applicants should consider whether a community-based organization or nonprofit partner could support this work through a small subaward, consistent with the community partner activities described in the Program Guide. While not a required component of the application, applicants including a community benefit and workforce analysis will be more competitive than those without.
- **Enabling Infrastructure:** Applicants are encouraged to analyze the enabling infrastructure needs associated with key interventions, particularly utility service upgrades, grid interconnection requirements, and site electrical improvements necessary to support electrification or other high-impact measures. For many facilities, infrastructure constraints are among the most significant barriers to process decarbonization implementation and can materially affect both feasibility and cost estimates. Addressing these needs explicitly will produce more accurate financial analysis and more actionable recommendations.
- **Policy and Rate Analysis:** Applicants are encouraged to analyze how current and anticipated energy rates, utility tariffs, and policy conditions affect the feasibility and economics of proposed interventions. This includes assessing how electricity and natural gas rate structures, demand charges, time-of-use pricing, and available utility incentives may affect the cost and payback of key measures, particularly for interventions involving electrification or fuel switching where the relative price of electricity and natural gas is a central driver of financial viability. Strong proposals will also consider how changes in rate structures or policy conditions, such as the introduction, extension or expiration of tax incentives or changes in utility interconnection policy, could affect outcomes under different scenarios. This analysis directly supports the scenario-based evaluation reviewers are looking for and can improve the decision-readiness of study findings, as well as inform the State of additional measures that may support facility decarbonization.

## Funding & budget

- **Funding Requests:** Applications requesting less than \$400,000 are eligible and encouraged when the proposed scope can meet program objectives at a smaller scale. Funding requests should be proportional to the complexity, replicability, and anticipated value of the study. The State may award less than the amount requested. Applicants are therefore encouraged to design proposals with flexible scope, identifying where the work could be scaled up or down to fit the available award. Applicants should also reflect this flexibility in their project budget by

breaking out costs by task or phase and distinguishing core scope elements from optional ones, so that funding and scope can be readily aligned if a reduced award is offered.

- **Match Funding:** While matching funds are not required, applicants are encouraged to include leveraged or complementary funding when possible. Projects demonstrating higher leverage ratios or engagement of additional project funders or investors may be more competitive, consistent with program scoring guidance.
- **Multi-Facility Budget Breakdown:** For projects studying multiple facilities, the budget should provide a cost breakdown by facility, including an explanation of any cost differences across facilities.

### Replicability & scaling

- **Replicability and Value to Michigan:** Because the program emphasizes statewide learning, applications should articulate how insights from the study could transfer to other Michigan facilities or sectors, and how the proposed approach, model, or technology could be replicated or scaled across multiple facilities, sites, or industrial operations to maximize broader impact. Applicants should highlight replicable frameworks, methodologies, or strategies.
- **Future Scaling Potential:** For projects that propose expanding analysis to additional facilities after the initial study, applicants are encouraged to include preliminary indications of interest from facilities that would participate in future phases, such as letters of interest or other documentation that the work is likely to scale beyond the initial award.

### Resources & partners

- **Partner Resources:** Applicants are encouraged to review the [program's teaming page](#) for technical, financial, or community resources that may strengthen their project team or study approach, or to contact EGLE program staff directly for help identifying appropriate partners.
- **Financing and Capital Connections:** As a study progresses toward implementation planning, access to financing and private capital becomes an important consideration for moving findings into action. Applicants are encouraged to address the investment-readiness and capital-attraction components of their study, and EGLE program staff can facilitate connections to known organizations that finance clean energy and decarbonization projects for industrial facilities if an introduction would be useful.

### Deadlines

- **Key Deadlines:** Projects must commence after September 1, 2026, and meet the required grant expenditure deadline of August 31, 2027.

